NVIDIA Corporation

NVDA NASDAQ

Buy	$216.39 ▲ 2.57%	12M Price Target	52-Week Range	Market Cap
		$260.00	$164.27 – $243.37	$5.23T

NVDA: Chip Export Rules & AI Capex Keep Driving

WHAT HAPPENED

- NVDA bounced +2.57% to $216 on a quiet news day — no filings, no overnight headlines. This is tape action, not fundamentals: the broader Tech ETF ripped +1.93% and NVDA just rode the wave after getting beat up last week ($221 → $210).
- The options tape is loud though — someone bought 166K calls at the $215 strike expiring this week, 13x the existing open interest. That's a conviction bet that $215 holds and we grind higher into month-end.

WHY IT MATTERS

The setup here is more interesting than the price move. NVDA pulled back ~5% last week and is now reclaiming the $215 level with institutions (71.4% ownership) sitting tight and options flow leaning bullish (0.58 put/call ratio means way more people betting up than down). That tells me the pullback was positioning noise — probably profit-taking ahead of earnings season — not a thesis change. Watch for a move above $222 to confirm the next leg; if that breaks, the $243 all-time high is in play within weeks.

POLICY & POLITICAL WATCH

The big one to watch is the ongoing US-China chip export framework — the Trump admin has been toggling between letting NVDA sell downgraded H20 chips to China (good for ~$15-20B of revenue) and threatening tighter restrictions as part of broader trade negotiations. Any clarity here moves the stock 5%+ in either direction. Separately, the federal AI infrastructure buildout (Stargate-adjacent spending, DOE national lab contracts, DoD AI initiatives) is a quiet tailwind — every government AI dollar basically has NVDA's name on it because there's no real alternative at scale.

IS IT EXPENSIVE?

At $5.2T market cap, NVDA trades around 48x forward earnings — meaning you're paying $48 today for every $1 of profit they'll make next year. That sounds rich, but earnings are growing 40%+ and data center revenue is still accelerating, so the PEG ratio (price-to-earnings vs growth) is actually reasonable around 1.2x. The real question isn't "is it expensive" — it's "can hyperscaler capex ($400B+ in 2026 across MSFT/META/GOOG/AMZN) hold up." If yes, this valuation is fine. If capex cracks, multiple compresses fast.

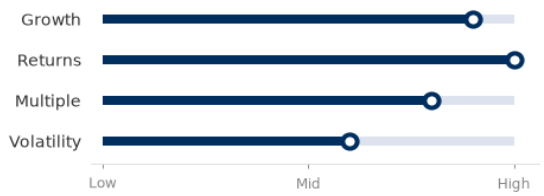
WHAT COULD GO WRONG

- China export policy whiplash — one executive order can wipe out a quarter of guidance overnight, and the admin has shown it will use chip access as a trade bargaining chip.

Key Data

Price (USD)	**$216.39**
12M Price Target	**$260.00**
Upside / (Downside)	**+20.2%**
Market Cap	**$5.23T**
FY2026E Revenue	**$205M**
FY2027E Revenue	**$265M**
FY2026E EPS	**$4.45**
FY2027E EPS	**$6.00**
Fwd P/E	**48.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NVDA — NVIDIA Corporation | October 26, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$235.00**	$222.00	**$200.00**
6 Months	**$270.00**	$240.00	**$185.00**
1 Year	**$310.00**	$260.00	**$170.00**
2 Years	**$400.00**	$320.00	**$160.00**
5 Years	**$600.00**	$450.00	**$180.00**
10 Years	**$900.00**	$600.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.93%) and Industrials (+1.49%) — the "AI needs physical infrastructure" trade is alive (power, cooling, grid). Energy (+2.69% over 5 days) is quietly ripping on data center power demand.

COOLING OFF: Consumer Discretionary flat-to-down — consumer is tapped, and that's a canary for the broader economy even as AI capex booms.

ROTATION WATCH: Money is rotating INTO anything AI-adjacent and energy, OUT of rate-sensitive consumer names. The tell: Real Estate and Energy both up 2%+ over 5 days — that's a data center power/REIT story, directly downstream of NVDA.

RELATED PLAY: If you believe the NVDA thesis, the second-order plays are the power companies feeding data centers (VST, CEG, TLN) and the networking names (ANET, AVGO) that connect NVDA chips together.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI chip deals with Google and OpenAI — the "NVDA alternative" trade.
- ANET (Arista Networks): Networking gear every AI data center needs; benefits whether NVDA or custom silicon wins.

NVDA CONTEXT: NVDA is middle-of-the-pack among AI names right now — not leading, not lagging. That's actually healthy; it means the easy money has shifted to picks-and-shovels adjacent (power, networking, custom silicon), while NVDA consolidates. A breakout above $222 would put it back in leadership.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — This is a core AI holding; the only reason it's not a 9 is China policy risk is genuinely unpredictable.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Add on pullbacks to $205-212 (where it bounced last week). Chase above $225 only if volume confirms.

TIME HORIZON: 12-24 months — the catalyst stack is earnings in ~3 weeks, then hyperscaler 2027 capex guidance in January-February.

WHEN TO BAIL: Hyperscaler capex guide cut >15%, OR hard China ban including Blackwell, OR data center revenue growth drops below 30% YoY. Any of those = thesis broken.

HEDGING: Simplest hedge — own a little less NVDA and a little more of the semi ETF (SMH) so you're not single-name exposed. Or buy cheap out-of-the-money puts 3-6 months out as insurance against a China headline.

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